4.4.5 Auditor's Duty Regarding Test Checking

The following are the auditor's duty or precautions to be taken by an auditor while adopting test check:

1. Entries selected for test checking must be representative of all transactions and entries on random basis should be selected for checking.
2. Auditor should select the test independently without regard to the suggestions of the client's staff.
3. Entries selected for test check should be chosen by the auditor cautiously by applying his intelligence and professional skill.
4. Test check should not be adopted in vouching the entries in the cash Book and bank Pass book.
5. The auditor should not adopt test check while checking the entries of first and last month of the year and all the entries must be thoroughly checked.
6. Test check should be so devised that a sizeable portion of the work done by each employee is checked.
7. Auditor should consider his past experiences in selecting the nature and size of the samples for checking.

SUMMARY

- **Audit Planning** enables an auditor to cover different aspects of audit work in a systematic manner within a preset time frame.
- **Good planning** brings promptness and perfection in audit performance.
- **Audit Programme** is a written scheme prepared by the auditor to distribute work to be followed during the audit.
- **Auditing in-Depth** is a technique which facilitates test checking.
- **Test Checking** is examining a selected number of items. It is based on the Law of Statistical Inertia which means the selection and checking of a representative number of entries for each class of transaction.

KEY TERMS

- **Audit Planning** – The audit plan is the description of the activities and arrangements for an audit.
- **Audit Program** – An audit program includes all the activities necessary for planning, organizing, and conducting audits. The program typically includes an annual schedule of audits.
- **Auditing in-depth** – Audit in depth implies a detailed and step by step examination of transactions through its process of the activity from origin to conclusion.
- **Test Checking (or Selective Verification)** – Test checking is a substitute for detailed checking. It involves only a partial checking, verifying the entries at random.

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